

REG-03: ERISA, Self-Funded Plans and the Role of a TPA

Training summary prepared for the Bellcourt case study. Simplified for learning purposes; not legal advice and not a substitute for the source text.

Self-funded versus fully insured

In a fully insured plan the employer buys a policy and the insurer bears the claims risk. In a self-funded plan the employer bears the risk, pays claims from its own funds, and usually hires a TPA to administer the plan. Most self-funded employers also buy stop-loss insurance to cap catastrophic claims.

Pre-emption

ERISA generally pre-empts state insurance laws for self-funded plans. State mandates (for example, required coverage of particular services) and state AI-in-UR laws therefore generally do not bind self-funded plans. The plan document controls what is covered.

Claims procedure timeframes (29 CFR 2560.503-1)

- Urgent care claims: 72 hours.
- Pre-service claims: 15 days, with one 15-day extension if needed.
- Post-service claims: 30 days, with one 15-day extension.

Notice content

An adverse benefit determination must state the specific reason, reference the plan provision relied on, describe any additional information needed and why, and explain the appeal procedure.